www.aib-axysafrica.com
research@aib-axysafrica.com



KCB Group Q1'2026 Earnings Note



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28th May 2026

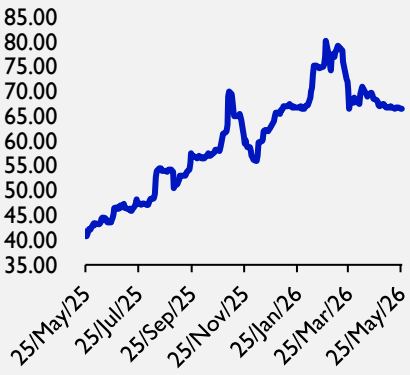
Ticker Information	
NSE Code:	KCB
Issued Shares (Bn):	3.21
52-week high:	KES 80.5
52-week low:	KES 35.0

Recommendation	Current Price	Target Price
BUY	**KES 66.50**	**KES 87.68**

Summary

- **KCB reported a 10.0% growth in net earnings in Q1'2026 to KES 18.20 Bn, registering 8.6% and 8.3% growth in the funded and non-funded revenue streams, respectively.** Operating expenses jumped by 3.4% y/y to KES 29.21 Bn, while the cost of risk improved to 0.8% from 1.1%. At the same time, loan loss provisions eased by 12.4% y/y to KES 4.91 Bn. Gross non-performing loans eased by 6.7y/y% to KES 217.79 Bn from KES 233.30 Bn. The balance sheet recorded an expansion, with total assets growing by 10.8% y/y to KES 2.25 Tn.

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	(2.6%)	(11.3%)	11.8%	63.0%

Source: NSE, AIB-AXYS Research

Key Highlights

- **Earnings Mix:** Interest from loans and advances increased slightly by 0.3% y/y to KES 35.57 Bn, as the loan book recorded an 18.6% y/y expansion to KES 1.21 Tn. At the same time, interest on government securities increased by 4.3% as the lender increased government securities holdings during the period under review. Interest income from placements increased 17.6% y/y to KES 2.89 Bn. On the expense side, interest expense on customer deposits eased by 11.5% y/y to KES 11.41 Bn, driven by a softer interest rate environment, despite a 15.7% y/y increase in customer deposits. Expenses on deposits and placements from banking institutions also declined by 9.6% y/y to KES 3.13 Bn. This resulted in an 11.1% y/y decline in total interest expense, lifting net interest income to KES 36.61 Bn, an 8.6%y/y jump.
- Crossing over to the non-funded segment, net non-interest income grew by 8.3% y/y to KES 17.03 Bn. Behind this performance was an impressive 26.8% y/y increase in fees and commissions on loans to KES 3.83 Bn, buoyed by growth in loan volumes. Interestingly, the lender posted a 13.7% y/y jump in FX trading income, a commendable feat after subdued performance through FY'25 amid a stable shilling, which had narrowed margins. *(This segment was mainly lifted by subsidiaries outside Kenya. Although Kenya still recorded a decline in FX income, it was an improvement compared to the same period last year.)* We had noted that banks would shift the FX game from a margins play to a volumes play to counter thin margins arising from a stable Kenyan shilling.

Asset Quality

We noted that the stock of non-performing loans improved, easing by 6.1% y/y to KES 217.79 Bn from KES 233.30 Bn. The lender cited intensified recovery efforts, rehabilitation, write-offs, and engagement with the Government regarding related entities. The NPL ratio improved to 16.4% as NPLs softened during the review period. Additionally, NPL coverage improved to 75.7% from 67.0%.

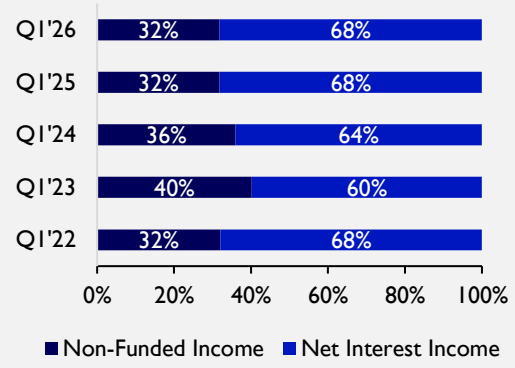
Balance Sheet Dynamics

Loans and advances grew by 18.6% y/y to KES 1.208 Tn, citing new bank customers and increased disbursements in priority sectors, especially in the domestic market. Notably, the corporate segment accounted for 51.0% of total gross loans, while 75.0% of the loan book remained in local currency. At the same time, total investment securities grew by 11.6% y/y to KES 444.50 Bn. The lender increased its holdings in government securities by 11.9% to KES 324.57 Bn, while investment in other securities increased by 11.0% y/y to KES 119.93 Bn. On the other hand, total customer deposits grew by 15.7% y/y to KES 1.65 Tn, with tangible growth recorded across both corporate and retail segments. During the period under review, borrowings and placements increased by 13.7% and 230.3%, respectively

Outlook

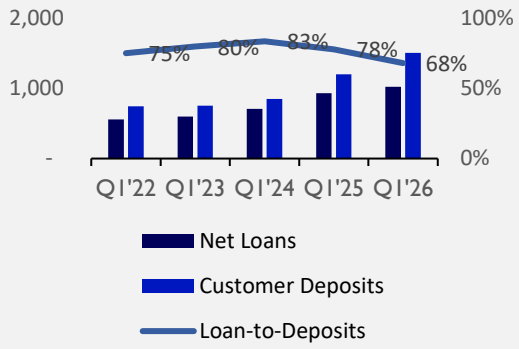
So far, KCB has managed to align with the current interest rate environment playbook by lowering its cost of funds while pushing higher loan volumes to support topline growth. There is still more room to run, especially if the monetary environment is not disrupted by elevated inflation. We had penciled in at least three rate cuts this year; one has already materialized, but we have since scaled back those expectations owing to higher inflationary pressures. The non-funded side improved compared to the decline recorded during the same period last year, particularly within the FX income segment. There has been a remarkable improvement in the Kenyan business, and we expect it to post stronger results through the year, while subsidiary businesses continue to remain a key source of FX income. We expect the subsidiary businesses to continue supporting the Group's overall performance. During the period under review, subsidiaries outside KCB Kenya recorded a 6.0% growth in Profit Before Tax to KES 7.2 Bn, with strong growth recorded in South Sudan as well as within the investment banking wing. We also noted an improvement in asset quality as stubborn NPLs were gradually unwound. We believe there is still room for improvement as lending rates continue to soften. However, we also acknowledge that the ongoing conflict in the Middle East may become a key drag on businesses, in turn dampening credit demand as well as weighing on asset quality.

Chart 2: Earnings Mix



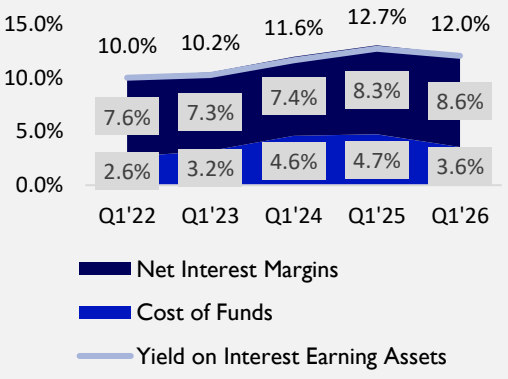
Source: Company filings, AIB-AXYS Research.

Chart 3: Faster Deposit Mobilization



Source: Company filings, AIB-AXYS Research.

Chart 4: Margins Trend



Source: Company filings, AIB-AXYS Research.

Recommendation

We maintain a BUY recommendation on KCB backed by a strong core lending business, resilient subsidiaries, and a strong balance sheet. At the current market price, the stock is trading at a P/E ratio of 3.1x and a P/B ratio of 0.61x. Our one-year target price for KCB currently stands at KES 87.68- representing a c 31.8% upside potential from current levels.

Income Statement (KES Mn)	Q1'22	Q1'23	Q1'24	Q1'25	Q1'26	y/y % Change
Net Interest Income	19,739.8	22,060.0	31,064.6	33,719.3	36,614.2	▲ 8.6%
Net non-Interest Income	9,291.6	14,790.3	17,423.2	15,722.4	17,026.1	▲ 8.3%
Total Operating income	29,031.4	36,850.3	48,487.8	49,441.7	53,640.3	▲ 8.5%
Provision for Impairment	(2,075.4)	(4,118.3)	(6,318.4)	(5,604.5)	(4,909.1)	▼ (12.4%)
Total Operating expenses	(14,999.3)	(22,996.2)	(27,330.2)	(28,260.0)	(29,214.5)	▲ 3.4%
Profit before tax	14,032.1	13,854.1	21,157.7	21,181.7	24,425.8	▲ 15.3%
Profit after tax	9,856.4	9,752.8	16,484.6	16,543.4	18,196.3	▲ 10.0%
Core EPS Annualized	12.27	12.14	20.52	20.03	22.18	▲ 10.7%

Balance Sheet (KES Mn)	Q1'22	Q1'23	Q1'24	Q1'25	Q1'26	y/y % Change
Total Investment Securities	274,442.9	297,718.6	393,040.3	398,242.8	444,498.0	▲ 11.6%
Loans and Advances	704,366.1	928,824.1	1,017,419.1	1,018,573.7	1,208,207.5	▲ 18.6%
Total Assets	**1,166,908.4**	**1,630,603.8**	**1,996,195.8**	**2,034,172.6**	**2,254,504.1**	▲ 10.8%
Customer Deposits	845,817.5	1,196,587.2	1,501,007.2	1,427,806.5	1,652,111.4	▲ 15.7%
Total Liabilities	983,185.4	1,415,758.1	1,757,622.9	1,728,672.3	1,892,744.2	▲ 9.5%
Shareholder's Funds	**181,833.4**	**208,144.9**	**231,454.9**	**297,085.1**	**352,235.8**	▲ 18.6%

Ratio Analysis	Q1'22	Q1'23	Q1'24	Q1'25	Q1'26	y/y % Change
Spreads Analysis						
Yield on Assets	10.0%	10.2%	11.6%	12.7%	12.0%	▼ (0.7%)
Cost of Funds	2.6%	3.2%	4.6%	4.7%	3.6%	▼ (1.2%)
Net Interest Margin	7.6%	7.3%	7.4%	8.3%	8.6%	▲ 0.3%
ROaE	22.9%	20.9%	20.1%	23.4%	21.6%	▼ (1.8%)
ROaA	3.5%	2.9%	2.4%	3.1%	3.3%	▲ 0.2%
Profit Margin	34.0%	26.5%	34.0%	33.5%	33.9%	▲ 0.5%
Operating Efficiency						
Cost to Income Less LLP	44.5%	51.2%	43.3%	45.8%	45.3%	▼ (0.5%)
Cost to Assets Less LLP	1.1%	1.2%	1.1%	1.1%	1.1%	▼ (0.0%)
Loan to Deposit Ratio	83.3%	77.6%	67.8%	71.3%	73.1%	▲ 1.79%
Asset Quality						
Gross NPL Ratio	17.2%	17.4%	18.3%	20.4%	16.4%	▼ (4.1%)
NPL Coverage	52.7%	57.3%	62.0%	67.0%	75.7%	▲ 8.7%
Cost of Risk	0.3%	0.4%	0.6%	1.1%	0.8%	▼ (0.3%)
Capital Adequacy						
Core Capital/TRWA	19.2%	13.6%	17.6%	16.7%	18.2%	▲ 1.5%
Total Capital /TRWA	22.8%	17.0%	20.0%	19.7%	21.6%	▲ 1.9%
Liquidity	36.9%	43.7%	47.9%	48.9%	51.1%	▲ 2.2%



CONTACTS

Research Desk

Email: research@aib-axysafrica.com

Equities Dealing

Email: trading@aib-axysafrica.com

Bond Dealing

Email: trading@aib-axysafrica.com

Global Markets & Offshore Products

Email: invest@aib-axysafrica.com

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